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IN THE UNITED STATES DISTRICT COURT

FOR THE DISTRICT OF HAWAII

UNITED STATES OF AMERICA,

Plaintiff,

v.

STATE OF HAWAI‘I; JOSHUA BOOTH GREEN, Governor of Hawai‘i, in his official capacity; and ANNE E. LOPEZ, in her official capacity as Hawai‘i Attorney General,

Defendants.

No. 1:25-cv-00179-HG-WRP

DEFENDANTS' MOTION FOR JUDGMENT ON THE PLEADINGS; MEMORANDUM IN SUPPORT OF MOTION; APPENDICES A–B; CERTIFICATE OF SERVICE

Judge: Hon. Helen Gillmor

Defendants State of Hawai‘i, Joshua Booth Green, and Anne E. Lopez move for judgment on the pleadings pursuant to FRCP Rule 12(c).

This motion is made following the conference of counsel pursuant to LR7.8, which took place on July 15, 2025.

DATED: Honolulu, Hawai‘i, July 25, 2025.

/s/ Kaliko‘onālani D. Fernandes
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MEMORANDUM IN SUPPORT OF MOTION

I. BACKGROUND

On April 8, President Trump declared that many states' efforts relating to climate change are "fundamentally irreconcilable" with his administration's policy of encouraging further fossil fuel development and "should not stand."[1] He ordered the U.S. Attorney General to review the legality of "all State and local laws, regulations, causes of action, policies, and practices . . . burdening the identification, development, siting, production, or use of domestic energy resources[,]" and to "expeditiously take all appropriate action to stop" those she deemed illegal.[2] This sweeping federal directive was supposedly motivated in part by concerns for "Federalism" and "the equality of each State enshrined by the Constitution[.]"[3]

On Monday, April 28, Governor Green said during an interview that Hawai‘i would be filing suit against fossil fuel companies that Thursday, May 1. Compl., ECF No. 1, ¶ 4. That was apparently enough for the Government. The day before the State filed its lawsuit, and with no knowledge of which fossil fuel companies would be sued, what facts would be alleged, or what theories of liability would be

[1] Protecting American Energy From State Overreach, Exec. Order No. 14,260, 90 Fed. Reg. 15,513 § 1 (Apr. 14, 2025).

[2] *Id.* § 2(a), (b).

[3] *Id.* § 1.

pled, *see id.* ¶ 14, the United States filed this lawsuit against the State (the "Federal Action"). The United States predicted that the State would "seek[] to hold fossil fuel companies liable" under a "strict liability" theory for their "lawful conduct" that "contribut[ed] to greenhouse gas emissions" and "caus[ed] climate change impacts to Hawaii." *Id.* ¶¶ 14, 38, 51. Extrapolating further, it alleged that the State's anticipated claims would be preempted by federal law, including the Clean Air Act (CAA), and violate the U.S. Constitution. *Id.* ¶¶ 28–88. The United States asks this Court to "[d]eclare Hawaii's state law claims unconstitutional" and to "[p]ermanently enjoin Defendants from taking actions to assert Hawaii's state law claims[.]" *Id.* at 31. However, the United States did not seek preliminary injunctive relief to forestall the State from commencing its own case.

On May 1, the State, acting by and through Attorney General Lopez, filed its climate-deception suit (the "State Action") against eighteen of "the largest oil and gas companies in the world and a national oil and gas industry trade association" (the "State Action Defendants"). State Action Compl. ¶¶ 28, 33.[4] Contrary to the United States' expectations, the State Action "does not seek to impose liability on [the State Action] Defendants for their direct emissions of [greenhouse gases.]" *Id.* ¶ 20. Instead, it "seeks relief for injuries in Hawai‘i caused by [the State Action]

[4] The State Action is *State ex rel. Lopez v. BP P.L.C.*, No. 1CCV-25-0000717. The State requests that the Court take judicial notice of the State Action complaint, a copy of which is attached as Appendix A.

Defendants' tortious, deceptive, and unlawful conduct within and outside of Hawai‘i[.]" *Id.* ¶ 21. As the Hawai‘i Supreme Court explained in a similar climate-deception suit, such actions seek to impose liability for deception and failure to warn, and "do[] not seek to regulate emissions or curb energy production[.]" *City & Cty. of Honolulu v. Sunoco LP*, 537 P.3d 1173, 1193 (Haw. 2023), *cert. denied*, 145 S. Ct. 1111 (2025).

Specifically, the State Action complaint alleges that the State Action Defendants "conceal[ed] the dangers of . . . and promot[ed] false and misleading information about fossil fuel products[.]" State Action Compl. ¶ 10. It pleads claims of state law negligence, public nuisance, private nuisance, trespass, harm to public trust resources, civil aiding and abetting, and strict liability for failure to warn, and alleges violations of Hawaii Revised Statutes (HRS) § 480-2, the Hawai‘i Unfair or Deceptive Acts or Practices statute. *Id.* ¶¶ 327–448. It seeks compensatory, punitive, and natural resource damages, disgorgement of profits, equitable relief (including "abatement in Hawai‘i of the nuisances complained of"), and statutory penalties and damages under HRS §§ 480-3.1, 480-13, and 480-14. *Id.* at 193–94.

II. LEGAL STANDARD

"Because a Rule 12(c) motion is functionally identical to a Rule 12(b)(6) motion, the same standard of review applies to motions brought under either rule."

Gregg v. Haw. Dep't of Pub. Safety, 870 F.3d 883, 887 (9th Cir. 2017) (cleaned up). "A judgment on the pleadings is properly granted when, taking all the allegations in the pleadings as true, the moving party is entitled to judgment as a matter of law." *Id.* (cleaned up).

III. ARGUMENT

A. The United States lacks standing.

To establish standing, the United States must demonstrate that "(1) it has suffered an 'injury in fact' that is (a) concrete and particularized and (b) actual or imminent, not conjectural or hypothetical; (2) the injury is fairly traceable to the challenged action of the defendant; and (3) it is likely, as opposed to merely speculative, that the injury will be redressed by a favorable decision." *Friends of the Earth, Inc. v. Laidlaw Envtl. Servs. (TOC), Inc.*, 528 U.S. 167, 180–81 (2000). The United States bears the burden of setting forth facts "sufficient to satisfy these Art[icle] III standing requirements[,]" and "[a] federal court is powerless to create its own jurisdiction by embellishing otherwise deficient allegations of standing." *Whitmore v. Arkansas*, 495 U.S. 149, 155–56 (1990).

The United States fails to establish Article III standing. Its allegations of future harm are far too abstract and inchoate to meet the concreteness requirement, and its alleged injuries are conjectural and hypothetical, not actual or imminent. Its theory of standing is based on potential downstream effects of the State Action that

are too speculative and remote to establish a cognizable injury. And the United States does not establish traceability or redressability because its alleged injuries depend on multiple layers of contingencies, including the unpredictable decisions of third parties.

1. A "concrete injury must be real . . . . [A]n abstract, theoretical concern will not do." *Lake v. Fontes*, 83 F.4th 1199, 1203 (9th Cir. 2023) (cleaned up). While "a person exposed to a risk of future harm may pursue forward-looking, injunctive relief to prevent the harm from occurring," the risk of future harm must still be "sufficiently imminent and substantial" to satisfy the concrete harm requirement. *TransUnion LLC v. Ramirez*, 594 U.S. 413, 435 (2021). The United States speculates that a judgment against the State Action Defendants might end up "second-guess[ing] EPA's regulatory choices," Compl. ¶ 38, "increasing energy costs and disrupting the national energy market," *id.* ¶ 39, "increas[ing] the United States' costs for purchasing fuels and threaten[ing] revenue from federal leasing[,]" *id.* ¶ 44, "imposing penalties or fines" that "burden" interstate and foreign commerce, *id.* ¶¶ 62, 70, and "undermin[ing] the United States' ability to speak with one voice in international relations[,]" *id.* ¶ 86.

But the United States cannot allege a concrete injury by pointing to speculative, hypothetical harms that might result from a potential judgment in the State Action that, if it even occurs, may be years away. The United States' alleged

injuries are not only contingent on the (presently uncertain) outcome of the State Action, but also on the legal basis and substantive contents of any such decision, which would affect whether the judgment in fact collides with EPA's regulatory choices, affects energy markets, disrupts federal leasing programs, or burdens commerce. The United States also seems to hinge those injuries on a state court judgment involving "large sums of money[,]" *id.* at ¶ 14, although it does not allege what dollar amount would need to be at issue to "raise energy costs for consumers nationwide[,]" *id.* ¶ 7. And tellingly, the United States does not identify any lessee that would avoid entering any oil or gas lease, any foreign nation that would alter its relations with the United States, or any EPA regulation that would be undermined if the State prevails in the State Action. These omissions underscore that the United States' injuries are entirely "abstract, theoretical concern[s,]" which do not satisfy the concrete harm requirement. *Pierce v. Ducey*, 965 F.3d 1085, 1089 (9th Cir. 2020).

2. The United States also fails to allege actual or imminent harm. "Where there is no actual harm , . . . its imminence (though not its precise extent) must be established." *Lujan v. Defenders of Wildlife*, 504 U.S. 555, 564 n.2 (1992). A future injury may suffice if it is "certainly impending" or there is "substantial risk that the harm will occur." *Susan B. Anthony List v. Driehaus*, 573 U.S. 149, 158 (2014)

(cleaned up). "[C]onjectural allegations of potential injuries are insufficient to plead a plausible real and immediate threat." *Lake*, 83 F.4th at 1204.

The United States' allegations of harm fail the imminence inquiry because they depend on multiple layers of contingencies. Even if the State Action Defendants are someday subject to an adverse judgment, the United States cannot reasonably express confidence about how the State Action Defendants will respond, much less how the judgment might affect a national fossil fuel market that is responsive to a complex network of decisions made by governments, corporations, and individuals across the world. *See Bates v. Dow Agrosciences LLC*, 544 U.S. 431, 445 (2005) (rejecting "speculation as to whether a jury verdict will prompt the manufacturer to take any particular action (a question, in any event, that will depend on a variety of cost/benefit calculations best left to the manufacturer's accountants)"). The State Action Defendants may have already factored the cost of climate-deception lawsuits, like the State's, into current energy prices and leasing practices. Or they may pay for an adverse judgment by spending down existing capital reserves or reducing the dividends paid to shareholders without ever altering their leasing or pricing decisions. Given that the price of fossil fuels is a function of global supply and demand, the State Action Defendants may lack the pricing power needed to pass any costs of an adverse judgment onto consumers. Even if the State Action Defendants reduce their leasing of federal

land, other market participants might fill the gap. Various defendants may respond differently to a hypothetical adverse judgment. For all these reasons, the United States' complaint relies on "conjectural allegations of potential injuries" that stretch "the concept of imminence beyond its purpose." *Lake*, 83 F.4th at 1204 (cleaned up).

Equally speculative is the United States' allegation that the State Action either "would" or "could" "undermine the ability of the United States to speak with one voice" on foreign affairs. Compl. ¶¶ 70, 84. Any alleged foreign-affairs injury is contingent not only on a hypothetical judgment against the State Action Defendants, but also on the manner in which liability is imposed, how those defendants and other industry actors respond, how the Executive Branch itself treats the decision in relation to foreign policy, and the unpredictable responses of foreign nations.

Indeed, multiple courts of appeals have rejected attempts by fossil fuel companies to remove climate-deception suits like the State's to federal court based on speculation that judgments in such suits might impair federal leasing programs. In the Tenth Circuit's words, "it is difficult to see how such a prospective theory of negative economic incentives—flowing from a lawsuit that does not directly attack . . . exploration, resource development, or leases—is anything other than contingent and speculative." *Bd. of Cty. Comm'rs of Boulder Cty. v. Suncor Energy*

(U.S.A.) Inc., 25 F.4th 1238, 1275 (10th Cir. 2022); *accord Rhode Island v. Shell Oil Products Co.*, 35 F.4th 44, 60 (1st Cir. 2022) (same); *Mayor & City Council of Baltimore v. BP P.L.C.*, 31 F.4th 178, 222 (4th Cir. 2022) (similar).

IV. CONCLUSION

For the foregoing reasons, the Court should grant the State's motion.

DATED: Honolulu, Hawai‘i, July 25, 2025.

/s/ Kaliko‘onālani D. Fernandes
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CERTIFICATE OF SERVICE

I hereby certify that on July 25, 2025, the foregoing document was filed electronically through the CM/ECF system, which will send notice of the filing to all counsel of record.

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